27 per cent of world gold consumption in 2011, and 26.4 per cent in 2012 (total of first three quarters).

- As per the *Annual Report 2011-12* of the Ministry of Mines, ***domestic production*** of gold is estimated at only 2.8 tonnes in 2011-12 and can meet around **0.3** per cent of the demand. This has inevitably led to its import.
- Gold is also used for trading/investment. Net retail investment constitutes 39.2 per cent of India's total gold consumption in 2011 and 32.5 per cent during the first three quarters of 2012 in terms of quantity. As stated in the RBI report, one of the major components of gold demand in recent years has been investment demand at global level.
- Rising gold prices in recent years have not deterred the acquisition of gold in India, implying that investment in gold is becoming ***price inelastic*** and its price was about to fall any time *(as India saw a 30 per cent fall in gold prices within one week – the 2nd week of* ***April, 2013****)*.
- India also imports gold for manufacturing purposes and exports a portion of it as jewellery. In the case of export of gold jewellery, the major export destinations include the UAE (57.9 per cent), Hong Kong (14.1 per cent), and the USA (12.0 per cent).

International gold price movements which have been volatile in recent years also have a bearing on the value of the country's gold imports. During 2000-12, international gold prices have grown at a CAGR (Compound Annual Growth Rate) of 16.2 per cent. In 2011–12 they increased by 23.4 per cent though they moderated to 4.3 per cent during April–November 2012 over the corresponding period in the previous year. Even with this moderation, gold prices were at a high level of US $1721 per troy ounce in November 2012 and at US $ 1672.3 per troy ounce (as on ***February 15, 2013***).

- As stated by the *RBI Report*, volatility in international gold prices in recent quarters is ***positively skewed***, implying that it provides fewer large losses and a greater number of larger gains. The worsening global situation has also led to a rise in purchase of gold as a ***safety metal*** and a further rise in its price.